INTRO TO THE STOCK MARKET · A COMMUNITY COURSE

WK 1 / 12

What is a market?

Luck vs skill, the price of a chocolate bar, and the one rule of this course

We grade decisions, not outcomes.

THREE PROMISES

Hold us to these

Paper portfolios only

Nobody risks a cent in this room. We practise with pretend money and real discipline.

No tips, ever

You leave with a process, not a portfolio. Anyone who gives you free tips is selling something.

Everything is open

Every tool we use is built in public. You can read every line, forever. Opacity is where the fee-takers live.

In this room we grade decisions, not outcomes.

It won't make sense yet. It will by nine o'clock.

COCKTAIL-NAPKIN DEFINITIONS

Three things, no jargon

A share

A slice of a real business. Own one and a sliver of the tills, the lorries and the debts is yours.

An exchange

Just the room — now a computer — where buyers and sellers find each other. Rules decide who gets what.

A price

Nothing more than the last deal two strangers agreed to. Not truth. Not value. The last handshake.

0:25 — LIVE EXPERIMENT

LIVE AUCTION

The sweet auction

Three identical chocolate bars. Auctioned one at a time, open outcry.
Your money: the sweets you were dealt — unevenly, on purpose.

We record **every hammer price** on the board.

THE BOARD

Bar 1 _____

Bar 2 _____

Bar 3 _____

DEBRIEF

Identical bars. Different prices. Why?

Budget

Who held more sweets could bid more. Money supply moves prices.

Desire

Who wanted it more paid more. Sentiment is real and it is priced.

Other bidders

Seeing hands go up made hands go up. You have just met momentum.

The last price

Bar 1's hammer price became everyone's anchor for Bar 2. Prices remember.

0:40 — LIVE EXPERIMENT

ALL STAND

The coin-flip champion

Everyone stands. Call heads or tails before each flip.
Wrong? Sit down.

Last one standing is crowned ***the room's best coin predictor.***

Then the only question that matters: would you pay them for coin tips?

Education, not advice.

THE WORD FOR TONIGHT

“Resulting” — judging a decision by its outcome

You cannot rerun life.

Good decision · Good outcome **Deserved win**	Bad decision · Good outcome **Dumb luck**
Good decision · Bad outcome **Bad break**	Bad decision · Bad outcome **Deserved loss**

We only control the left-hand half of each label. So that is what we grade.

0:55 — YOUR MOST IMPORTANT TOOL

NO ENTRY, NO TRADE

The decision journal

BEFORE the decision

- The decision, in one sentence
- What triggered it (gut counts — write it)
- My thesis, two sentences max
- What would prove me wrong?
- How calm am I? (1–5)

AT the review date

- What actually happened
- Did I follow my own rules? yes / no
- Grade the PROCESS — repeat what? change what?
- Luck or skill — and how do I know?

1:10 — PHONES OUT

Open the course site

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[ your course URL here — written large on the board ]
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Today the whole toolkit is one page and one button. *That's deliberate.*

It grows one capability a week — same pace as you — in public, where you can watch.

Opacity is where the fee-takers and the scammers live. So: no black boxes here.

1:25 — HOMEWORK

Two small things

1 · Bring a headline

Find one financial headline or post that smells like luck dressed up as skill. Best one gets pinned to the Wall of Resulting next week — and stays up all term.

2 · Keep the journal visible

Somewhere you'll see it. Nothing to fill in yet — just don't lose it. Every paper trade in this course starts with an entry. No entry, no trade.

“We grade decisions, not outcomes.”

GO DEEPER — FREE, FOREVER, OPTIONAL

The Economy 2.0

A complete university economics course by CORE Econ — free online, no account, no catch. The same ideas tonight's lesson used, done properly:

MICRO UNIT 8	Supply and demand: markets with many buyers and sellers — tonight's sweet auction, done with graphs
MICRO UNIT 5	The rules of the game: who gets what and why — why the exchange's rules decide outcomes
MICRO UNIT 4	Strategic interactions and social dilemmas — why watching other bidders moved your hand

books.core-econ.org/the-economy